Session 30: Business Combinations I: The Acquisition Method (IFRS3)

By the end of this session you must know what qualifies as a business combination and a “business,” the four steps of the acquisition method, how to identify the accounting acquirer (including in reverse acquisitions), how the consideration transferred is determined, how goodwill/bargain purchase is calculated, and how step acquisitions and control-preserving disposals are treated.

Plan

1. What Is a Business Combination, and What Is a “Business”?
2. Scope and Objective of IFRS3
3. The Four Steps of the Acquisition Method
4. Step 1: Identifying the Acquirer
5. Step 2: Determining the Consideration Transferred
6. Step 3: Allocating the Purchase Price and Calculating Goodwill
7. Post-Combination Accounting
8. Step Acquisitions and Disposals Without Losing Control
9. Worked Examples: Identifying the Acquirer
10. Common Mistakes and Exam Traps
11. Must Know Absolutely

1. What Is a Business Combination, and What Is a “Business”?

Business combination (IFRS3): a transaction or event in which an acquirer obtains control of one or more businesses. Control is assessed exactly per the IFRS10 three-part test (Session 28): power, exposure to variable returns, ability to affect returns through power.

Business: an integrated set of activities and assets capable of being conducted and managed for the purpose of providing goods or services to customers, generating investment income, or generating other income from ordinary activities. A business consists of inputs, processes and the capability to produce outputs. **even if outputs do not yet exist**, the presence of substantive inputs and processes may already qualify as a business.

- Whether an acquisition is of a “business” (triggering IFRS3) or merely a group of assets (which does not) is a crucial threshold question, addressed by IFRS3’s “concentration test” (IFRS3.B7-B12D).

Research facility: acquiring a research facility with staff and intellectual property, but no current sales, may still qualify as a business. The inputs (staff, IP) and substantive processes (ongoing R&D activity) can be sufficient even without any output (product sales) yet existing.

2. Scope and Objective of IFRS3

Must know (IFRS3’s scope):
• **Applies to:** mergers, acquisitions of subsidiaries, and acquisitions of entities meeting the definition of a business
• **Excluded:** joint arrangements (IFRS11), business combinations under common control, and the formation of joint ventures

Objective of IFRS3: to ensure transparency, comparability and relevance in accounting for business combinations, by requiring the acquisition method. Which emphasises fair value measurement and recognition of goodwill or a bargain purchase gain, and presents the economic substance of the transaction over its legal form.

3. The Four Steps of the Acquisition Method

Must know (the acquisition method, four steps):
• **1. Identify the acquirer**
• **2. Determine the acquisition date**
• **3. Recognise and measure identifiable net assets acquired, NCI, and consideration transferred**
• **4. Recognise goodwill or a bargain purchase gain**

4. Step 1: Identifying the Acquirer

Acquirer: the entity that obtains control of the acquiree, per IFRS10's control definition. In straightforward share acquisitions, this is usually the entity transferring cash or other consideration. In complex transactions (mergers, reverse acquisitions), identifying the acquirer requires judgement.

Must know (additional criteria for identifying the acquirer, IFRS3.6-7, B13-B18): the acquirer is the entity that, through the transaction, obtains any of the following:
• Power over more than half the voting rights of the other entity (via agreement with other investors)
• The power to determine the other entity's financial and operating policies (via bylaws or contract)
• The power to appoint or remove the majority of the other entity's board (or equivalent governing body)
• The power to cast the majority of votes at board meetings

Must know (residual indicators, used when the above are inconclusive):
• If one combining entity's fair value is significantly greater than the other's, that entity is likely the acquirer
• If the combination results in one entity's management dominating selection of the combined entity's management team, that entity is likely the acquirer

In a **reverse acquisition**, the entity that is the *legal* acquirer (the one that legally issues shares or is the surviving legal entity) may not be the *accounting* acquirer. IFRS3 looks through legal form to which party's shareholders/management actually end up with control of the combined entity (see Exercise 2, Section 9).

5. Step 2: Determining the Consideration Transferred

Consideration transferred: measured at **fair value** at the acquisition date, and can include cash paid, the fair value of assets transferred, liabilities incurred, and equity instruments issued.

Must know (consideration measurement details, IFRS3.37-40):
• If **monetary**, the cost equals the cash/cash-equivalent amount transferred
• If settlement is **deferred** (in part or full), each component's fair value is determined by discounting to present value at the transaction date. Recognised only if the discounting effect is significant
• If the agreement includes **contingent consideration** (payments dependent on future events), its fair value at the acquisition date must be included in the acquisition cost
• If acquired via an **exchange of shares**, the market price of the shares issued at the exchange date is the best evidence of fair value
• If achieved **in stages** (a step acquisition), any previously held interest is remeasured to fair value (Section 8)

Acquisition-related costs (broker's fees, consulting/legal/accounting/valuation fees, other advisory services, internal acquisition-department administrative costs, and debt/equity issuance registration costs): **expensed** as incurred, in the periods the related services are received. They are **not** part of the consideration transferred or the acquisition cost. The one exception: costs of issuing debt or equity instruments themselves follow IFRS9's own rules (typically netted against the proceeds), not expensed under IFRS3.

Acquisition date: the date control passes. Not necessarily the date legal ownership transfers. This is crucial because all identifiable assets/liabilities are fair-valued as of this date.

Timing example: if legal ownership transfers on 1 July but control (per the IFRS10 test) actually passed on 25 June, the acquisition date for IFRS3 purposes is **25 June**, not 1 July.

6. Step 3: Allocating the Purchase Price and Calculating Goodwill

- The acquirer allocates the total consideration to identifiable assets acquired, liabilities assumed, and contingent liabilities. All measured at **fair value** at the acquisition date.
- Any excess of consideration over the net fair value of assets acquired is **goodwill**. If net assets exceed consideration, a **bargain purchase gain** is recognised directly in profit or loss.

Fair value (as applied here, echoing IFRS13's general definition): the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Contingent liability recognised in a business combination: should reflect a present obligation, but where the future outflow is not regarded as "probable," or cannot be measured with sufficient reliability, per the normal IAS37 threshold (Session 14). Yet under IFRS3, a contingent liability of an acquiree **is** still recognised at fair value if it can be reliably measured, even where it would not meet the ordinary IAS37 recognition bar on a standalone basis.

Previously unrecognised assets/liabilities: the acquirer may recognise items the acquiree itself never recorded, e.g. intangible assets (customer relationships, trademarks), contingent liabilities, or deferred tax assets from tax-loss carryforwards, because these may have failed the acquiree's own recognition criteria (e.g. internally generated intangibles under IAS38, Session 11) but must nonetheless be recognised at fair value in the consolidated accounts upon acquisition, since acquisition accounting uses a different (fair value) recognition threshold.

Goodwill: an asset representing the future economic benefits from acquired assets that are not individually identified and separately recognised. Goodwill is recognised at cost, equal to the excess of the cost of the combination over the net fair value of identifiable assets and liabilities acquired.

Goodwill = Consideration transferred + NCI + Fair value of any previously held interest − Net fair value of identifiable assets acquired

where: - a negative result is instead a **bargain purchase gain**, recognised in profit or loss at the acquisition date.

Must know (NCI measurement choice, IFRS3.19, identical to Session 28's two goodwill methods):
• NCI at **fair value** (full goodwill method), total goodwill includes NCI's own share
• NCI at its **proportionate share of net identifiable assets** (partial goodwill method), total goodwill reflects only the parent's share
• The choice is made **per acquisition** and directly affects the amount of goodwill recognised

7. Post-Combination Accounting

- After the acquisition, the group consolidates 100% of the acquiree's assets, liabilities, income and expenses (Session 28's "golden rule"), eliminates intra-group transactions (Session 29), and tests goodwill annually for impairment under IAS36 (Sessions 12-13). Goodwill is never amortised.

8. Step Acquisitions and Disposals Without Losing Control

Step acquisition: an investor initially holds a non-controlling interest (e.g. 20-30%), then acquires additional shares that give it control.

- Depending on how the original stake was classified, either IFRS9 (if it was a financial asset investment) or IAS28 (if it was an associate/joint venture, via the equity method) governed it up to that point.
- Once control is obtained, IFRS3's acquisition-method accounting takes over. Treating the moment control is achieved as if a wholly new business combination is occurring.

Must know (step acquisition accounting):
• The **previously held interest** is remeasured to **fair value** at the acquisition date (the date control is obtained)
• Any gain or loss from that remeasurement is recognised in **profit or loss**
• This applies **regardless** of how the prior stake was previously classified (IFRS9 or IAS28)

Disposals without losing control (i.e. selling some shares in a subsidiary while retaining control): treated purely as an **equity transaction**: no impact on profit or loss. The difference is recognised directly in equity, reallocated between the parent's equity and NCI.

9. Worked Examples: Identifying the Acquirer

Exercise 1: on 15 March 20X1, Company A purchases 80% of Company B for €800m, appoints 4 of 5 directors, and directs Company B's operating and financial policies from that date. **Solution:** Acquirer = Company A. Acquisition date = 15 March 20X1. Reason: Company A obtains control through voting rights and the ability to direct relevant activities. A straightforward application of the Section 4 criteria.

Exercise 2 (reverse acquisition): Company X issues new shares to legally acquire 100% of Company Y. After the transaction: former Y shareholders own 65% of the combined entity (former X shareholders only 35%), 6 of 8 board seats go to Y representatives, and Y's CEO becomes CEO of the combined entity. **Solution:** the *accounting* acquirer is Company **Y**: a reverse acquisition. Although X is the legal acquirer (it issued the shares), IFRS3 looks to control: former Y shareholders control the combined entity's voting rights, and Y representatives dominate both the board and executive management.

10. Common Mistakes and Exam Traps

- Treating the legal acquirer as automatically the accounting acquirer. In a reverse acquisition, IFRS3 requires looking through legal form to which party's shareholders/management actually control the combined entity.
- Capitalising acquisition-related costs (broker's, legal, consulting, valuation fees) as part of the consideration transferred or goodwill. These are expensed as incurred, with the sole exception of debt/equity issuance costs (governed by IFRS9 instead).
- Using the legal transfer date as the acquisition date when control actually passed earlier or later. The acquisition date is strictly the date control transfers, which drives when fair value measurements are taken.
- Recognising a business combination's assets/liabilities at their acquiree book values. IFRS3 requires fair value measurement of all identifiable assets and liabilities at the acquisition date, exactly the step-up/step-down mechanics from Session 28.
- Forgetting that a step acquisition triggers a fair-value remeasurement (through P&L) of the *previously held* stake, not just fresh accounting for the newly-acquired incremental shares. The whole prior interest is revalued at the moment control is obtained.
- Assuming a contingent liability of the acquiree can never be recognised because it fails IAS37's normal "probable" threshold. Under IFRS3, an acquiree's contingent liability is recognised at fair value if reliably measurable, a lower bar than IAS37's own standalone test.

11. Must Know Absolutely

Must know:
• Business combination = acquiring control (IFRS10 test) of a "business" (inputs + processes capable of producing outputs, even without current outputs)
• Four-step acquisition method: identify acquirer → determine acquisition date → measure net assets/NCI/consideration at fair value → recognise goodwill or bargain purchase
• Acquirer identified via IFRS10 control criteria first, then residual indicators (relative fair value, management dominance). Can differ from the legal acquirer in a reverse acquisition
• Consideration = fair value of cash + assets transferred + liabilities incurred + equity issued, including contingent consideration at fair value. Acquisition-related costs are expensed, not capitalised
• Goodwill = consideration + NCI + FV of any previously held interest − net FV of identifiable assets acquired. Negative → bargain purchase gain to P&L
• Step acquisition: the previously held stake is remeasured to fair value through P&L at the moment control is obtained. Control-preserving disposals are pure equity transactions, no P&L impact